A subprime mortgage bond is a type of asset-backed security (ABS) that combines multiple individual subprime mortgages into a security that pays investors interest income based on the proceeds from mortgage payments. These bonds typically employ a structure in which multiple tranches (or classes) are created from the same pool of mortgages. The highest rated class, AAA, gets paid off in full, then the next highest rated class (AA), and so on. The higher the class, the lower the risk, and hence the lower the interest rate it receives. The "equity tranche," which is not rated, absorbs the first few percentage points of losses (typically 3 to 5 percent), and is wiped out if this loss level is reached. Next, the lowest rated debt tranche (often called the "mezzanine" tranche) absorbs additional losses, a greater credit risk for which investors are paid a higher rate of interest. For example, if the equity tranche was 3 percent of the issue and the mezzanine tranche 4 percent, the mezzanine tranche would begin to be impaired if losses due to defaulted repayments exceeded 3 percent, and investors would lose all their money if losses reached 7 percent. Each higher tranche would be protected in full until losses surpassed the upper threshold of the next lower tranche.

During the housing bubble of the mid-2000s, the risks associated with the low-rated BBB tranches of subprime bonds, which were high to start, increased dramatically. There was a significant deterioration in the quality of loans, as loan originators were able to pass on the risk by selling their mortgages for use in bond securitizations. Effectively, mortgage originators were freed from any concern whether the mortgages they issued would actually be repaid. Instead, they were incentivized to issue as many mortgages as possible, which is exactly what they did. The lower they set the bar for borrowers, the more mortgages they could create. Ultimately, in fact, there was no bar at all, as subprime mortgages were being issued with the following characteristics:

- No down payment.
- No income, job, or asset verification.
- Adjustable rate mortgage (ARM) structures in which low teaser rates adjusted to much higher levels after a year or two.

There was no historical precedent for such low-quality mortgages. It is easy to see how the BBB tranche of a bond formed from these low-quality